

Buying Vs Leasing A Car



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The Benefits of Leasing a Car

The fast-paced challenge of new technology is everywhere. Computers are geared to last three years, maybe less. Smartphones barely last a year before new technology and new uses have made them obsolete and in need of replacement.

What about the most complex arrangement of mechanical and electronic engineering most of us are ever likely to own: the automobile? That single umbrella word “car” takes in a vast amount of computer and electronics, much of which is improved and updated on a daily basis. With so much change coming so fast, it makes perfect sense to lease a car, instead of buying.

If you’re on the fence about leasing a car, consider this:

- **Leasing helps you stay current.** Most people are not able to buy a new car as often as, say a cell phone. That’s where leasing comes in. When you lease a car, you’re never saddled with old technology. You actually can change out cars as you need to, ensuring that you have the latest in comfort and fuel economy.
- **Lower monthly payments.** When you buy a car, you’re buying the life of the car. That is to say, a car you purchase for \$20,000.00 is worth \$20,000 at the time of purchase but may have no value at the end of 15 or 20 years when the life cycle of the car is complete. When leasing, you’re paying for the portion of the car’s lifecycle you’re actually going to use. A \$20,000 car today might be only worth \$12,000 in three years. With leasing, you’re only paying on that \$8,000 (plus interest) that you’re actually using of that car’s life cycle.

- **The never-ending warranty.** If the car is always under warranty, you don't have to worry about costly repairs other than normal wear and tear on the car. You simply say, "fix it" and it's all completed for you, and with few exceptions, it's all covered.
- **Taxes.** If you're not buying a car, you're not usually going to pay sales tax, though you need to check the regulations in your state. If there is sales tax, it's only for the amount of the car's life you're buying. So, on that earlier example, you're only paying sales tax on the \$8,000 you spent on the car, vs. sales tax on the full \$20,000
- **Selling/Trading in.** Many people feel overwhelmed by the process of selling a car or getting a good price as a trade-in. Leasing solves that issue, simply return the car and walk away. Or better yet, drive away in a new lease.

While leasing might not be the one-size-fits-all solution, there are many advantages to leasing a car. The greater freedom and the ability to keep up with current technology makes leasing an attractive option.

The Biggest Financial Mistakes People Make When Buying a Car

Buying a car is a big investment. But it's not only the price of the vehicle that needs to be considered. There are also interest rates and monthly payments, spread out over how long the loan is for to take into consideration.

There are several pitfalls that are common to many car buyers. Be careful of these:

- **Loan length.** Dealerships will give you a startlingly good monthly payment if you extend the loan to 60 or 70 months. This is a bad mistake. Why do they do it? Two reasons: they want to sell you the car. If you can see that the monthly financing is in your budget, you'll be more likely to go for it. The other reason? They don't want to sell you that car. They want to sell you a much more expensive car, one where monthly payments in a 70-month plan are affordable.
 - **Why not?** As soon as a car is sold, it depreciates rapidly. A car is – financially speaking, a bad investment. It is, in fact, a losing investment. The other side to a longer lease is more payments on interest. Eventually, you'll end up paying twice the original value of the car and will never recover what you owe when you sell it.
 - **Solution?** Don't get a car you can't pay off in three years. It might not be as slick as the nicer ones, but your finances will love you.

- **Leasing.** Keep in mind that cars are financially a bad idea. They depreciate. Fast. On the other hand, if you pay off a car in three years and drive it for five after that, you can take that money you've been using for car payments and put to other use. At the end of three years on a lease, all you have is someone else's car who wants it back. Now you have to start on a new lease.
 - **Why not?** No one needs a new car every three years, and if you are running a car so hard that you do, then the leasing company is going to fine you heavily for excess wear and tear. When you're done, you'll have no car, no trade-in and no way to get another car except through another lease.
 - **Solution?** No one ever improved their credit by leasing. But a purchase with prompt payments will go a long way to revitalizing your credit and give you a credible option for other uses of your money.

Don't let these mistakes affect your happiness with purchasing your car. With a little proper care and research, you'll be able to avoid them, and still, have good financial footing alongside a beautiful and dependable vehicle.

The Downside of Buying a Car

Owning a shiny new car is a dream most of us have had at one point. Chances are, our fantasies date back to our childhood when we saw that bright red sports car reflecting the sunlight as it flew by. From that moment, on we've all given a thought to owning a car. It's been a part of the "American Dream" for generations.

But there are some problems with achieving that dream that needs to be considered in the cold light of day. Here are a few things to think about when considering whether to buy a car.

- **Price.** When you purchase a car, you are buying that car from now until you sell it or haul it away. As opposed to leasing when you're paying for a portion of the car's life, purchasing takes the entire life of the car, meaning you're paying for the full sticker price. You're paying more when buying because you're getting more car.
- **Down Payment.** As with any loan, you may need to provide a down payment. This requires having the money or trade in to qualify for the loan.

- **Payments.** Paying a car loan will almost always be a higher monthly payment than leasing. Be very cautious of long-term loans, with higher interest. You may end up paying far more than the car is actually worth.
- **Depreciation.** You've probably heard that a car depreciates significantly once it has been purchased. The question, however, is, how fast? Purchasing a car will lead to a variable depreciation rate, without warning. The only thing you can be sure of is that it will depreciate. It's true that leased cars will depreciate at the same variable rate, but the depreciation on a leased car is someone else's problem.
- **Major repairs.** Purchasing a new car will provide you with a warranty. There are some things a warranty won't cover or will only cover for a year or two. Extended warranties will help fill in that gap, but in the end, the costs are your responsibility exclusively.

Owning a car has its advantages, but there are also cons, just like with everything in life. These need to be researched and investigated before committing to a payment that may last years. A car is a complex interaction of mechanical, electrical, and chemical systems and requires a great deal of responsibility and proper care. Owning a car drops all of that squarely on your shoulders, making this a decision that should not be made lightly.

The Downside of Leasing a Car

Buying a car isn't the only way to get behind the driver's seat. There are times when leasing a car might make more sense, economically. Especially when you're keeping up with the latest tech. Leasing, however, does have its drawbacks.

Remember, when you lease a car, you are paying for the privilege of using someone else's car. This means that the dealership you're renting from is able to set certain rules about how that vehicle is going to be used.

Always read the lease carefully. There might be:

- **Mileage Restrictions.** The car you lease has a certain life cycle. It's expected to last a certain number of years and a certain number of miles. You're paying for a limited amount of both. Most leases will allow a certain number of miles per year, and to go over that will result in very high penalties and fines.
- **Excessive wear.** It's not only the number of miles driven, but it's also how they're driven. Taking a sedan fast over a rutted dirt road, for example, will wear out the shocks and struts and tires faster than driving paved roads through a city. Climbing mountains will add more wear faster as opposed to staying on flatland. Excessive wear shortens the lifespan of the car, and you will pay for the part you used, no matter how quickly.
- **How you use it.** It might not be an issue, but most leases specifically forbid the use of their car for use in Lyft or Uber ventures.
- **Maintenance.** Every car needs periodic maintenance. Whereas some might feel comfortable changing their own oil, many leases spell out that maintenance has to be done by approved technicians. If leasing from a dealership, they will often specify that work is done at a dealership. This is paid for from your pocket and is not part of the monthly lease payments.
- **Credit.** Generally speaking, excellent credit is required to lease. Poor credit and no credit are often not insurmountable issues when buying but can be a make-or-break limit for leasing.
- **Trade-in.** When the lease is complete, you have no car. You either need to sign another lease or purchase agreement as the car you've been driving isn't

yours. You have no trade in for a down payment, meaning you have no value attached to the old car.

While there are benefits to leasing a car instead of buying, but there are large numbers of cautionary items to watch for. Largely, these conditions are spelled out in your lease, so be sure to read it carefully.

Top 5 Mistakes to Avoid When Leasing a Car

Leasing a car may seem like it's easier than buying. After all, the car is someone else's problem, and all you have to do is drive, right? But there are some catches to be aware of before signing that lease paperwork.

Many of these are things you wouldn't think of or wouldn't know offhand if you've never leased a car before.

- **Too much down.** A down payment on a lease will lower the monthly rate. The down payment is like buying a set amount of time of the car's life before the lease kicks in, thus "pre-paying" on the lease and having that savings spread out over time. However, if the car is stolen or totaled in the first months, the insurance company will replace the cost of the car – to the dealer. You will not get that down payment back.
- **GAP insurance.** GAP insurance covers the difference between what you owe and what the car is worth. For example, if you lease a car worth a \$20K and it's totaled, and the insurance pays the dealership for its current \$18K worth, that

remaining \$2,000 comes out of your pocket. If the lease doesn't have GAP insurance, it's best to find one that does.

- **How many miles do you drive?** When leasing a car, you're buying a part of the time that car is going to run. Remember you're not just buying years of its life, you're also buying miles of its life. You can imagine that if you kept a car for an extra year, the dealership would want compensation because you'd be putting on more miles than you agreed to on the lease, that the dealership will charge a substantial penalty for excess wear and tear on the car.
- **Maintenance.** All cars need periodic maintenance. A leased car is a car that belongs to someone else. They are not only very particular that the car gets maintenance, but they are concerned with who does that maintenance. Replacing the oil yourself may not fulfill the terms of the lease. And if there are dents, scratches or other defects when the car is returned, you will be charged, often at a high rate.

Leasing a car has its advantages, but like everything, there can be issues involved in the act of leasing. Do your research, read the fine print, and ask yourself if you're able to follow through with the terms on the lease.

Car Loan Comparison Tips

There are all kinds of loans: car loans, home loans, educational loans and more. Even within the auto loan, there are different sorts of loans depending on who is the one loaning the money. All loans, though, can be talked about with these three words: Amount, Duration, and Interest. All these things will vary depending on who you get your loan with, and what kind of loan you're getting.

How do you decide what kind of loan to get? Start with checking these items carefully when considering a car loan.

- **Banks often require good credit.** If you can get a loan from a bank, go to your bank before you shop for your car. You'll be able to go from there to the dealer with a clear idea of how much you need to spend, and what your options are. Then don't let the dealer tell you they have a better deal. Check the length of the loan, and the interest rate first.
- **If you do need to go through a dealer loan,** use a national carrier such as Ford, Honda, or Toyota and purchase a car from a major car manufacturer. They have experience and closely monitored policies. Getting a loan from a late-night used car salesman may not be the way you want to go.
- **How much will the car cost?** Not just the sticker price, what's the total after interest is paid on the loan? If you're getting a lower interest rate but have to pay in longer, your monthly payments may be less, but is the total cost of the car going to go up? By how much?
- **Are there penalties for early payoff?** If your income tax refund next year goes to paying off your car, will that accrue a fee? Some places will charge you for paying early and not giving them the interest you signed on for.
- **Be careful.** Check the Better Business Bureau for the reputation and history of anyone you take out a loan with. Do your research about the company and the underwriters. Find out about their track records with loans.
- **Do it fast.** When you inquire about a loan, if they run your credit to tell you how much interest etc. you're expected to pay, your credit will take a hit. Shopping around all by itself will damage your credit rating because you'll look desperate. Shop for comparisons all at once, don't let the next one wait until the next day. See if the loan officer can give you a yes or no without running your credit, so you don't get penalized for an inquiry only to find out you don't qualify anyway.

How to Decide Whether Leasing or Buying a Car is Best for You

There are no set rules. For some leasing is the answer, for others, they would never touch a lease. The difference between the two is as much a difference in consumer preference as it is in what each can offer you.

Here are some ways for you to check and see which is better for you:

- **How much can you pay on a monthly premium?** It's cheaper in the short term to lease a car. While this number is not often a vast percentage, it often is a matter of \$50.00, which to some can be a make or break part of a decision.
- **How much can you put down?** What do you have to contribute right now to a sale or lease of a car? If you have a car now, that can be a down payment on a new one. Leases often don't require down payments, or they're very small if they do.
- **How much do you drive?** If the answer is a lot, don't lease. Leasing a car will give you a set amount of miles per year. If you exceed the total at the end of the lease, you will pay a high penalty for exceeding the miles agreed to in the lease.
- **How hard do you drive?** Are you taking in a movie at the local cineplex or rushing down rutted country roads as fast as you can get there? Wear and tear on a car is normal, hard driving is not and will also incur a penalty if you lease.
- **Planning on starting an Uber?** Or are you going to use the car for hauling your samples around? Most leases will specify that you're not allowed to use the vehicle for commercial pursuits

- **Are you going to be able to hand the car back?** If you do, then what? At the end of the lease, at best, you have no more payments to make. Unless there are fees for overages or damage, you're simply not making more payments. But on the other hand, you no longer have a car. If you're going to need one, it might be better to buy and use that for a trade-in.

There are calculators and ways to figure out interest on the internet. Use them. Find out the full price of the car, that is, calculate cost plus interest plus time on the payments. Find out the cost, and then plan ahead, see yourself in five years, ten years. Will your life be different? How? Plan accordingly.

Pros and Cons of Buying a New vs. a Used Car

Buying a car isn't a choice between the smoking hot, brand-new, imported sports car and the smoking clunker with the for-sale sign made out of cardboard. There are a lot of choices to make when purchasing a vehicle. Some used cars are still under warranty. Some have very few miles on them.

There are advantages and disadvantages to both. Which is better? The question may be, which is better for you?

New car

- **Pros:** New cars have warranties. They cover (typically) bumper to bumper problems, and all major failures are covered. A used car has often been called “buying the problems they didn’t want to fix” and there is some truth to that. Also, with a new car, you get all the latest technology, including the latest in gas proficiency. Sometimes a dealer will arrange for a lower interest rate on a new car.
- **Cons:** As soon as you sign the papers, you lose money. A lot of money. A new car is worth what it’s worth because it’s new. As soon as it’s owned the value plummets. Be careful if you’re buying the first year of a different sort of engine or transmission. Often the new style doesn’t work well, but you won’t know it for a year.

Used car

- **Pros:** A used car has already had that initial depreciation, and you might be able to get a substantial amount of your purchase price back in resale within a few years. Insurance rates are lower, interest rates are lower, and you have years of production for that make and model to prove itself.
- **Cons:** It’s been owned. It’s been driven. You don’t know how well it was maintained if it was maintained or why the previous owners sold it. You might indeed be buying someone else’s problems. Cars in this day and age live a long time with nothing but basic maintenance. Costly repairs are a possibility, but not an inevitability. You will need to be flexible, and willing to compromise on color and features in order to get the best vehicle for your money.

A general rule of thumb goes like this, “If you can’t pay it off in three years, it’s not your car.” Regardless of whether you are buying a new or used card, figure

out how much your budget will comfortably allow. Find out what you can expect for that price and remember to add in the interest and go from there.

Should you Buy Your Leased Car?

You've leased your car for three years, and now the lease is over, and they want to put the car up for sale. In the meantime, you've named the car Emma and have fallen in love with her. When you tell them how much you and Emma mean to each other, the dealership offers to let you buy her from them. But is that a good choice?

First, naming a leased car might not have been the best idea. But becoming emotionally attached to the car is something that can't be quantified. Here are some practical considerations when deciding to buy a lease return.

- **Warranty.** When you were leasing, the car was covered bumper-to-bumper for major repairs and non-maintenance tasks. If the car is now yours, those repairs are yours to bear. Find out how long the warranty is good for, and whether you can get an extension.
- **Incentives.** Are you getting any purchasing incentives? Remember, no matter how much you leased the car for, it's not worth that much now. Most depreciation happens in the initial part of the car's life cycle, so ask for the moon. You might get something less grand, but if you can get something at all, it's worth the asking.
- **Check with your credit union or bank.** Price a lease-buyout option. It's essentially a refinance, but it often offers lower interest rates than a dealership

would. It's good to go into a meeting with the dealership and have that other option on your side.

- **Did you exceed the mileage limit or the time limit?** In leasing a vehicle, this can create some severe charges if you've gone over the agreed upon limit. These will be waived, of course, if you buy the vehicle. A substantial amount for a penalty might be better served applied to a down payment.
- **Budget.** It always comes to money. If you can pay the car off in cash, by all means, do that first. Avoid the interest payments. For the rest of us not so lucky to have that kind of money just lying around, find out what your budget will support. If you have a good down payment and the monthly rates are lower, then it's maybe a good time to buy a new car. If not, then see if you can move into the one you have for less. Remember, if you're planning on buying a car anyway, it doesn't have to be the one you're in.

Sometimes purchasing the car you're used to, familiar with, and enjoy makes more sense. Try to keep the emotional investment in Emma aside and look at the purchase from a financial, realistic point of view.

The Benefits of Buying a Car

Cars have been part of the American dream since Henry Ford decided to bring them within the price range of the average consumer. Of course, there are disadvantages to owning a car; despite Mr. Ford's initiative, the price still can be daunting.

For all that, there are reasons to purchase a car over leasing.

- **It's yours.** When leasing a car, the car belongs to the dealership. Because it's their car, there can be restrictions which might include:
 - Milage. Often in a lease, you have a set number of miles you can travel in a year. If you exceed that amount, you pay a very high overage cost. When the car is yours, you decide how many miles you're allowed to drive.
 - No shade trees. Some people like the cost savings of changing their own oil or doing their own work. If it's your car, you decide who works on it. With a lease, you don't get that choice.
 - Equity. Yes, a new car depreciates rapidly, but when it's time for a new vehicle, you have this one to trade in. A lease means you don't have anything to put toward a new vehicle if you decide you want to buy.
- **Customization.** Do you have an affection for Faux-fur beaver seat covers? What about a hula dancer bolted to the dash? It's your car, do as you will. Don't try that with a lease!
- **Credit or not.** You've seen the ads, "Low-Credit? No-Credit? No problem!" it's true that purchasing a car will help revive a poor credit rating. Leasing requires excellent credit.
- **A light at the end of the tunnel.** When you purchase a car, you have a set amount of payments over a set amount of time. It may seem like it takes forever, but eventually, you will make the last payment, and the car is completely yours. If you lease, at the end of the lease is another lease, with more payments. By definition, leasing means you're always making payments.

Buying can be more expensive in the initial outlay. You need a down payment (or trade-in), and monthly payments may be higher, but in the end, your car will actually be your car. Aside from "pride of ownership," there is a certain freedom of

being able to take that cross-country trip or forgiving yourself if you put a scratch on the fender.

When it comes to the bottom line, the biggest benefit of buying a car is that it's your car. Maybe the upholstery has a smudge mark on the passenger seat, but it's not a mark, it's a memory of sharing an ice cream cone with your son. Maybe there's wear on the back seat, but the family dog was so excited to see the beach.

Sometimes a car is more than just transportation. It can become a collection of memories.